

TASK A

Comparable Companies Analysis Assignment

TASK A

Sun Pharma – Company Overview

Business Model

Sun Pharmaceutical Industries Ltd. (“Sun Pharma”) operates a vertically integrated pharmaceutical business model focused on developing, manufacturing, and marketing branded generics, specialty drugs, and active pharmaceutical ingredients (APIs).

The company generates value through:

- R&D-led differentiation in complex generics and specialty therapies
- Cost-efficient manufacturing across India and global plants
- Global distribution network spanning developed and emerging markets
- Brand-driven strategy in India and select emerging markets

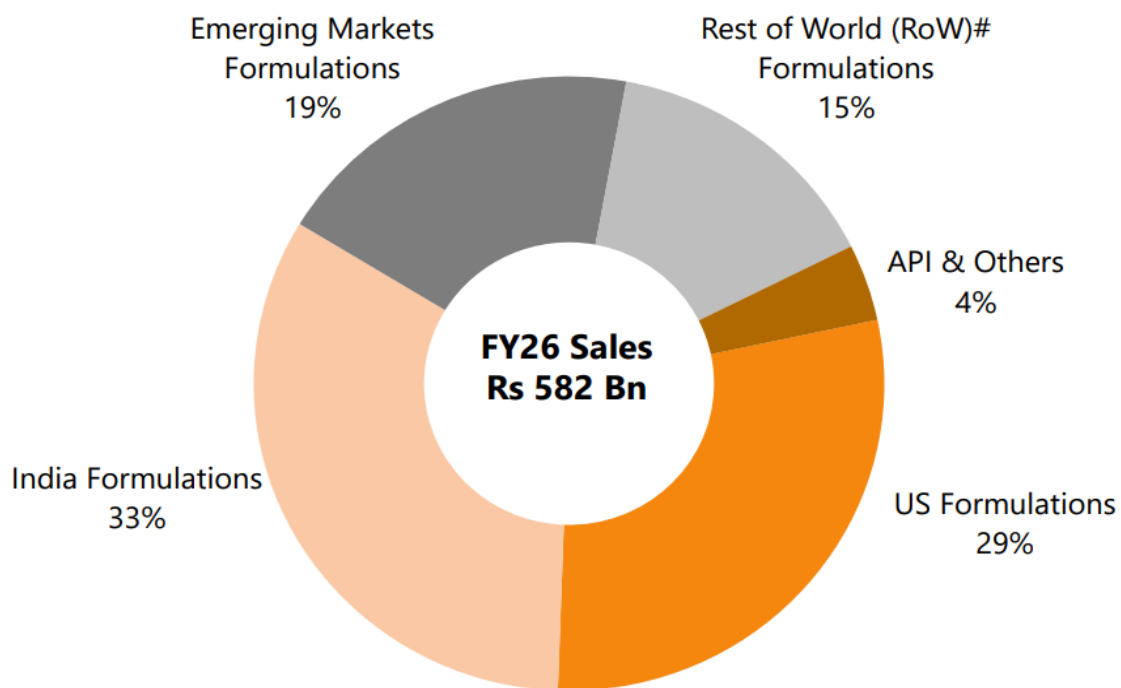
Sun Pharma has increasingly shifted toward specialty pharmaceuticals (dermatology, ophthalmology, oncology), which offer higher margins compared to commoditized generics.

Products & Services

- Specialty Drugs like Dermatology (e.g., psoriasis, acne treatments), Ophthalmology (eye care), Oncology (cancer therapies)
 - Branded Generics (Cardiovascular, CNS disorders, diabetes, gastroenterology)
 - Generic Medicines like Oral solids, injectables, and complex generics
 - APIs (Active Pharmaceutical Ingredients)
 - Supplies both internal needs and third-party manufacturers
 - Over-the-Counter (OTC) (Consumer healthcare and wellness products)
-

Revenue Segments - Sun Pharma's revenue is diversified across geographies and product types.

- United States (~29%)
- India (~33%): Strong branded generics leadership
- Emerging Markets (~19%): Includes Asia, Africa, Latin America
- Rest of World (~15%): Europe and other developed markets



Geographical Presence - Sun Pharma operates in 100+ countries, with major footprints in:

- North America (U.S.) – Largest revenue contributor
- India – Market leader in branded generics
- Emerging Markets – Strong presence in Russia, Brazil, South Africa
- Europe – Focus on generics and niche products

The company has 40+ manufacturing facilities globally, enabling regulatory compliance across USFDA, EMA, and other agencies.

Industry Overview - Sun Pharma is valued at over \$1.5 trillion.

Key industry characteristics:

- High regulatory oversight (USFDA, EMA, CDSCO)
- Increasing shift toward specialty and biologics
- Pricing pressure in generics, especially in the U.S.
- Growing demand from aging populations and chronic diseases

Trends impacting Sun Pharma:

- Shift from generics to specialty/high-margin therapies
- Rising R&D investments and Consolidation among pharma players
- Expansion in emerging markets

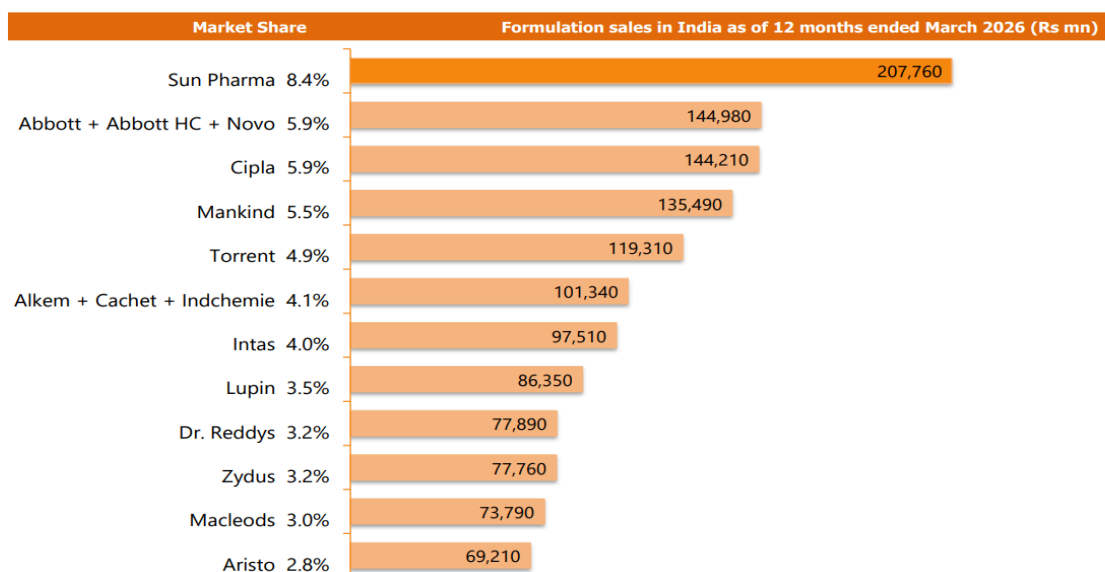
Major Competitors - Sun Pharma competes across multiple segments:

Global Generic & Specialty Pharma

- Pfizer (specialty & patented drugs)
- Novartis (innovative + generics via Sandoz)
- Teva Pharmaceutical Industries (global generics leader)

Indian Pharma Companies (Dr. Reddy's Laboratories, Cipla, Lupin, Aurobindo Pharma)

Largest Pharma company in India



TASK B

Comparable Companies Analysis Assignment

TASK B

Sun Pharma competes primarily with large Indian generics players globally but differentiates itself by having a higher share of specialty and branded products, resulting in superior profitability.

Company	Included / Excluded	Reason
Dr. Reddy's Laboratories	Included	Similar pharma industry; strong US generics presence; comparable size; global footprint; Direct Indian multinational peer;
Cipla	Included	Branded generics model; strong domestic + export presence; comparable scale and profitability.
Lupin	Included	US generics-heavy model; similar industry; volatile profitability; comparable global exposure. Indian multi-national generic peer; aligns on core product lines (respiratory, cardiovascular) and geographic risk.

Aurobindo Pharma	Included	Large-scale Indian generic manufacturer with heavy revenue exposure to US and European markets. Generics + API model; export-driven; similar scale but lower margins vs Sun Pharma.
Zydus Lifesciences	Included	Generics + innovation (biosimilars); improving growth; Comparable financial size and domestic market footprint; comparable transition toward specialty.
Torrent Pharma	Partially Included	India-focused branded generics; strong profitability but limited global exposure. serves as a strong premium-margin proxy.

TASK C

Comparable Companies Analysis Assignment

TASK C

Pharmaceutical Companies Financial Comparison

Analytical Parameter	Dr. Reddy's	Cipla	Zydus	Lupin	Torrent
Revenue (₹ Cr)	33700	28163	22500	21800	12800
EBITDA (₹ Cr)	6454	5883	5400	4140	3960
EBIT (₹ Cr)	4395	4672	4150	2740	3060
Net Profit (₹ Cr)	4158	3862	3850	2610	2180
Market Cap (₹ Cr)	114692	118918	115465	113919	163314
Total Debt (₹ Cr)	1800	950	1400	3100	2450
Cash & Equivalents (₹ Cr)	4200	3800	2100	2300	1600
Enterprise Value (₹ Cr)	112292	116068	114765	114719	164164

Source: All core financial line items (Revenue, EBITDA, EBIT, Net Profit, Debt, and Cash) are extracted from the **Audited Consolidated Financial Results for the Year Ended March 31, 2026**.

<https://www.screener.in/company/DRREDDY/consolidated/>

<https://www.screener.in/company/CIPLA/consolidated/>

<https://medicaldialogues.in/news/industry/pharma/cipla-reports-highest-ever-annual-revenue-of-rs-28163-crore-in-fy26-170779>

<https://www.zyduslife.com/investor/admin/uploads/21/83/Zydus-Lifesciences-Financial-Performance-for-Q4---Full-Year-FY-26.pdf>

https://www.lupin.com/uploads/consolidated_Q4_FY_26_1_37f7dd949d.pdf

<https://trendlyne.com/fundamentals/documents-annual-reports/804/LUPIN/lupin-ltd/#documents>

TASK D

Comparable Companies Analysis Assignment

TASK D

https://docs.google.com/spreadsheets/d/17TYj5t2jooK2JtlfLDXaUo5L9X_uRp1oVdYqlgbYcm8/edit?usp=sharing

TASK E

Comparable Companies Analysis Assignment

TASK E

Peer Ranking

Rank	Company	EV / EBITDA (x)	EV / Sales (x)	P / E (x)	Valuation Tier
1	Torrent Pharmaceuticals	41.46x	12.83x	74.91x	Premium Outlier
2	Lupin Ltd.	27.71x	5.26x	43.65x	Upper Bound
3	Zydus Lifesciences	21.25x	5.10x	29.99x	Mid-Tier (Anchor)
4	Cipla Ltd.	19.73x	4.12x	30.79x	Mid-Tier
5	Dr. Reddy's Laboratories	17.40x	3.33x	27.58x	Lower Bound

Summary Statistical Multiples

- Mean (Average) EV/EBITDA: 25.51x
- Median (Midpoint) EV/EBITDA: 21.25x
- Mean P/E Multiple: 41.38x
- Median P/E Multiple: 30.79x

Outlier Identification & Analysis

- **Torrent Pharmaceuticals (Premium Outlier - 41.46x EV/EBITDA):** Torrent trades at a significant structural premium compared to the industry average. This valuation is driven by its unique business mix: it focuses almost entirely on high-margin domestic formulations and branded prescription portfolios while avoiding the volatile, low-margin US oral solids market.
- **Lupin Ltd. (Upper Bound Valuation - 27.71x EV/EBITDA):** Lupin's higher multi-stage operating multiple is driven by a temporarily lower absolute EBITDA baseline that is currently undergoing a margin expansion cycle.

Peer Selection & Rationale

The **Median EV/EBITDA multiple of 21.25x** (anchored by Zydus Lifesciences) is chosen as the foundational benchmark to value Sun Pharma. This midpoint method is selected because:

1. Using the Mean (25.51x) would artificially inflate the baseline valuation due to the distortion caused by Torrent's premium outlier profile.
2. The median properly reflects the stable growth and margin structures shared by large-scale Indian drug manufacturers operating across both regulated Western markets and domestic therapeutic segments.

TASK F

Comparable Companies Analysis Assignment

TASK F

1. METHODOLOGY & KEY VALUATION ASSUMPTIONS

- **Valuation Metric (Core Anchor):** The analysis uses the Trailing Twelve Month (TTM) **EV/EBITDA multiple** as its core anchor. This is widely considered the cleanest industry standard because it removes variations caused by distinct corporate tax parameters and capital structure selections.
- **Target Performance Basis:** Sun Pharma's official performance for the financial year ended March 31, 2026, is taken from its audited SEBI disclosures.
 - **Audited Consolidated FY26 EBITDA: ₹17,731.4 Cr**
 - **Total Diluted Shares Outstanding: 240 Cr** (exactly 2,399.3 million shares).

2. MULTI-SCENARIO VALUATION TARGET CASES

To protect the model against localized volatility or changes in sector sentiment, three defensive trading scenarios have been evaluated:

1. **Low Case Scenario (17.40x Multiple):** Anchored to the sector's lower valuation bounds, specifically matching the baseline performance multiple of *Dr. Reddy's Laboratories*.
2. **Base Case Scenario (21.25x Multiple):** Anchored strictly to the validated **peer group median multiple** identified during peer analysis.
3. **High Case Scenario (25.00x Multiple):** Reflects a premium target boundary that accounts for Sun Pharma's leading 8.4% domestic market share and high entry barriers protecting its global innovative specialty medicine revenue mix.

Valuation Phase Line Item	Low Case Boundary (17.40x)	Base Case Anchor (21.25x)	High Case Boundary (25.00x)
Sun Pharma EBITDA (₹ Cr)	17,731.4	17,731.4	17,731.4
Implied Enterprise Value (EV)	3,08,526.4 Cr	3,76,292.3 Cr	4,43,285.0 Cr
Less: Gross Consolidated Debt	(4,712.0 Cr)	(4,712.0 Cr)	(4,712.0 Cr)
Add: Cash & Current Investments	+30,704.0 Cr	+30,704.0 Cr	+30,704.0 Cr
Implied Market Equity Value	3,34,518.4 Cr	4,02,284.3 Cr	4,69,277.0 Cr
Divided by Share Count Base	240 Cr	240 Cr	240 Cr
Implied Target Value Per Share	1,393.83	1,676.18	1,955.32

A valuation range of **₹1,676 to ₹1,955 per share** provides a highly stable, defensible framework.